MWG

Personal Equity Research

June 26, 2026

Rating: HOLD

12M Target Price

88,476 VND

Share Price (Jun 26 2026)

78,500 VND

Expected Return

12.7%

Market Cap (Jun 26 2026)

115.3tn

Primary Method

SOTP

DCF Cross-check

110,920 VND

10-session avg volume

4,270,300

52w low (VND)

59,050 VND

52w high (VND)

94,400 VND

Largest shareholder

10.4%

Foreign ownership

48.9%

Free-float:

75.0%



MWG VN - Vietnam retail

Mobile World Investment Corporation

Core recovery, BHX execution upside, SOTP as the cleaner lens

THESIS SNAPSHOT

MWG is a HOLD with a SOTP target price of VND 88,476/share, 12.7% above the June 26 close.

Our view depends on DMX/TGDD holding its recent profit recovery and BHX improving store productivity as the network expands.

- DMX/TGDD provides most of the current earnings and valuation support.
- BHX can create upside, but store openings alone are not enough; revenue per store must recover.
- Our forecast assumes modest margin gains, driven mainly by productivity and cost control.
- SOTP sets the target price; DCF is a sensitivity check.

FY Dec	2024A	2025A	2026E	2027E	2030E
Revenue (VND tn)	134.3tn	155.9tn	185.0tn	210.7tn	267.2tn
EBIT (VND tn)	5.2tn	8.7tn	10.2tn	12.9tn	19.2tn
EBIT margin	3.9%	5.6%	5.5%	6.1%	7.2%
NPATMI (VND tn)	3.7tn	7.0tn	9.2tn	11.4tn	16.4tn
EPS (VND)	2,535	4,790	6,297	7,753	11,192
P/E (x)	31.0x	16.4x	12.5x	10.1x	7.0x

Investment case

Most of the value still comes from the mature core. We give BHX credit for expansion, but not for a full productivity recovery that has yet to appear in the data.

What would make us wrong

The HOLD case would be too cautious if new BHX cohorts mature faster than expected. It would be too optimistic if core demand relies on promotions or if inventory and working capital rise with the rollout.

Valuation

Our VND 88,476 target comes from SOTP. The higher DCF result is a useful range check, but terminal value makes it a weaker anchor while MWG's segment mix is still changing.

Executive Summary

We rate MWG HOLD. DMX/TGDD already produces most of the group's profit, while BHX remains the main source of both upside and execution risk. Our base case assumes the core stays profitable and BHX expands without reversing recent gains in margin and working capital.

Metric	Base case
Rating	HOLD
Target price	VND 88,476
Current price	VND 78,500
Upside	12.7%
2026E revenue	185.0tn
2026E NPATMI	9.2tn
Base WACC	11.2%

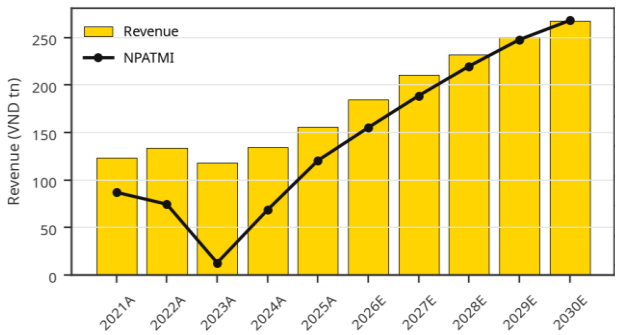


Figure 1. Revenue and NPATMI recovery / forecast

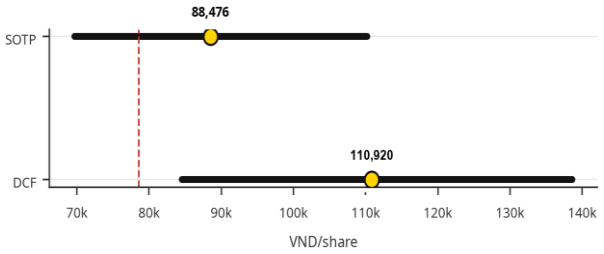


Figure 2. Target price range by method

Debate	Evidence	Implication
Core profit quality	2026E EBIT margin 5.5% vs 2025A 5.6%.	Base case does not rely on stretched margin assumptions.
BHX execution	BHX revenue rises from 46.9tn in 2025A to 112.7tn in 2030E.	Revenue growth must come with better store productivity.
Valuation	Base SOTP TP 88.5k vs DCF 110.9k.	SOTP is the more conservative method.

Valuation and investment framing

SOTP is our base case because DMX has an observable IPO benchmark while BHX is still scaling and requires a separate sales multiple. We apply a holding discount and recognize only part of net cash, producing a more conservative target than DCF. The market is likely to reward core earnings durability before giving full credit to BHX expansion. For that re-rating, we need evidence that RPSM recovers as new cohorts mature without a corresponding rise in inventory days or working-capital needs.

> MWG is no longer a single-format ICT retailer. We value the mature core, BHX and the smaller chains separately because each business has a different earnings profile and capital need.

Company Overview and Business Model

TGDD/TopZone and DMX remain the earnings base. BHX is the growth engine, while An Khang and AVAKids are smaller turnaround or niche assets. The mix matters because group revenue growth now carries more execution risk than it did when ICT/CE dominated.

Segment	Role	2026E revenue	Maturity	Valuation lens
TGDD/TopZone	Mobile and Apple retail	39.3tn	Mature	Part of DMX IPO anchor
DMX	Consumer electronics core	80.9tn	Mature	IPO anchor / earnings
BHX	Grocery growth engine	55.5tn	Scaling	EV/Sales with execution discount
An Khang	Pharmacy turnaround	2.9tn	Early	Conservative EV/Sales
AVAKids	Baby/niche retail	1.7tn	Small	Niche EV/Sales

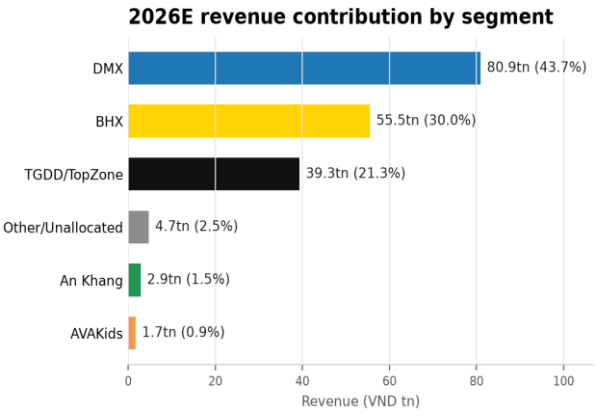


Figure 3. 2026E revenue contribution by segment

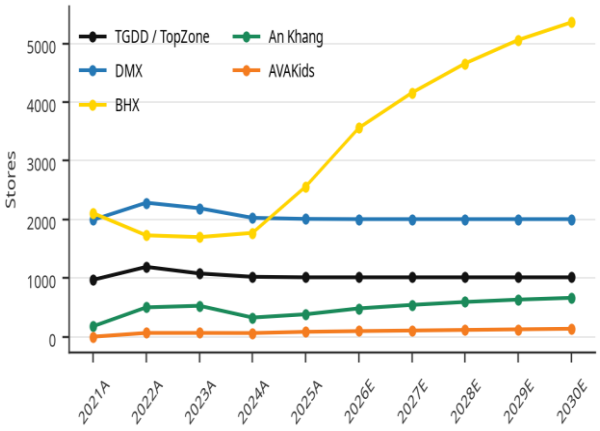


Figure 4. Store count by chain

> **Why SOTP is necessary**
> One group multiple hides the difference between mature DMX earnings and BHX rollout risk. SOTP makes those assumptions visible.

Industry and Competitive Landscape

Market	Structure	MWG edge	Key risk
ICT / mobile	Mature replacement market	Scale, brand, financing, TopZone	Demand softness, price competition
Consumer electronics	Large but cyclical category	DMX network, services, installation	Margin pressure in promotions
Modern grocery	Fragmented and underpenetrated	BHX format and logistics learning curve	New-store dilution and shrinkage
Pharmacy / baby	Smaller optionality	Traffic and retail operating know-how	Turnaround not yet fully proven

MWG's ICT and consumer-electronics markets are mature, so the core must grow through better store economics rather than a larger footprint. Grocery offers more runway, but fresh-food logistics, shrinkage and regional expansion can absorb profit before new stores mature.

Company	Relevant angle	Use in valuation
FRT	ICT retail + Long Chau pharmacy	An Khang proxy and retail comp
DGW / PET	ICT distribution exposure	Tech consumption sanity check
MSN/WCM	Modern grocery reference	Grocery multiple reference, not pure BHX
Regional retailers	ICT/CE and grocery benchmarks	Broker multiple context

> **How we use peers**
> No listed peer matches MWG's mix. We use FRT, DGW/PET and MSN/WCM as reference points; RPSM, EBIT margin and inventory days carry more weight in our valuation.

Thesis 1 - DMX/TGDD Productivity-led Recovery

We expect the core ICT/CE business to grow through higher sales per store, services and tighter inventory management. Store count changes little in our forecast, so a renewed dependence on promotions would weaken the thesis.

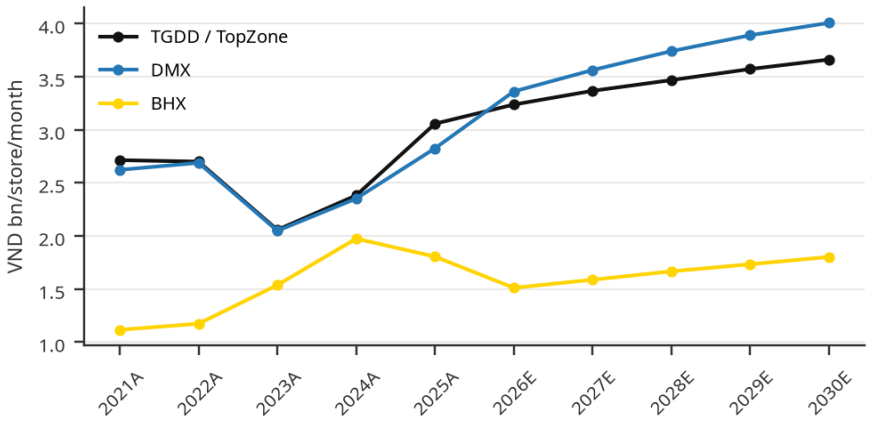


Figure 5. Revenue/store/month by core chains

Core chain	2025A rev	2026E rev	2030E rev	RPSM 2026E	Driver
TGDD/TopZone	37.3tn	39.3tn	44.5tn	3.24	Mobile / Apple productivity
DMX	68.4tn	80.9tn	96.4tn	3.36	CE demand, services, financing

What to monitor	Why
SSSG and category mix	Shows whether recovery comes from real demand or promotions.
Consumer finance penetration	Supports basket size but adds cycle risk.
Service attachment	Improves gross profit quality.
Inventory days	Shows whether growth is clean or driven by inventory build-up.

> **Core view**
> TGDD/TopZone and DMX grow with little store expansion in our model. The case therefore rests on productivity and service mix, not footprint growth. We would reassess the forecast if promotions or consumer finance, rather than demand, drive the rebound.

Thesis 2 - BHX Scale-up

BHX drives most of MWG's incremental revenue and most of our valuation uncertainty. New stores need to mature without pushing logistics costs or shrinkage above plan.

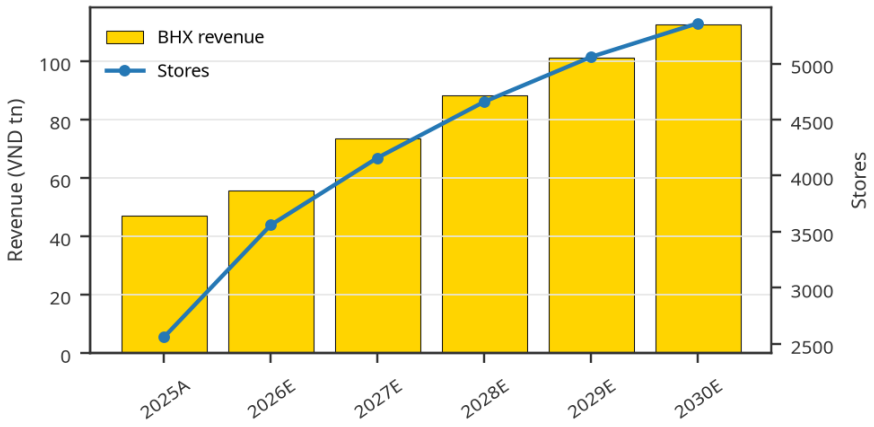


Figure 6. BHX revenue growth vs network expansion

BHX KPI	2025A	5M26A	2026E	2027E	2030E
Revenue	46.9tn	23.1tn	55.5tn	73.5tn	112.7tn
Ending stores	2,559	3,051	3,559	4,159	5,359
RPSM	1.81	1.65	1.51	1.59	1.80
Revenue growth	14.1%	18.3%	18.3%	32.5%	11.5%

New stores	789	532	1,000	600	300

New-store dilution pulls BHX RPSM from VND1.81bn in 2025A to VND1.51bn in 2026E. We model a recovery from 2027 as store cohorts mature; if RPSM stays near the 2026 level, our BHX revenue and valuation would be too high.

> **BHX valuation**
> We value BHX at 0.8x 2026E sales in the base case. The discount reflects lower near-term RPSM and limited evidence that new stores have reached mature economics.

Thesis 3 - Operating Leverage and Margin

We forecast EBIT margin at 5.5% in 2026E, close to 2025A, before it rises to 7.2% by 2030E. Most of the improvement comes from lower selling and G&A costs as a share of revenue; gross margin increases only 70bp.

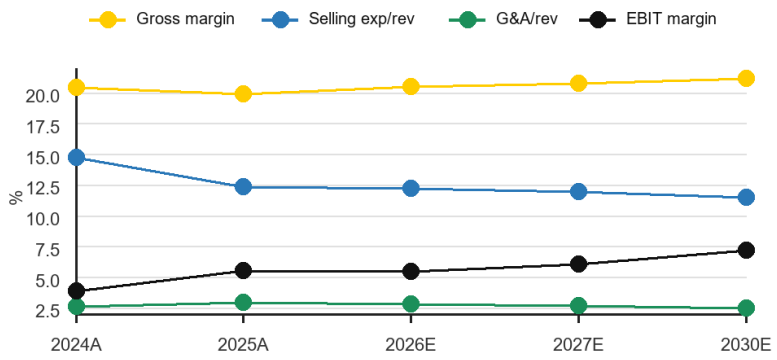


Figure 7. Margin bridge and operating leverage drivers

Metric	2024A	2025A	2026E	2027E	2030E
Gross Margin	20.5%	19.9%	20.5%	20.8%	21.2%
Selling Expenses / Revenue	14.8%	12.4%	12.2%	12.0%	11.5%
G&A Expenses / Revenue	2.7%	2.9%	2.8%	2.7%	2.5%
EBIT Margin	3.9%	5.6%	5.5%	6.1%	7.2%
NPATMI Margin	2.8%	4.5%	5.0%	5.4%	6.2%

Margin driver	Model treatment	Analyst view
Gross margin	20.5% in 2026E to 21.2% in 2030E	Small lift; the model does not require a major mix/pricing surprise.
Selling expense	12.2% to 11.5% of revenue	Main leverage lever; depends on productivity and logistics discipline.

G&A	2.8% to 2.5% of revenue	Scale benefit, but kept conservative to avoid overfitting.
Working capital	Inventory days gradually lower	Checks whether margin recovery is clean or inventory-led.

> **Margin view**
> Our margin forecast does not require a large pricing or mix surprise. It does require selling costs to fall with scale. Higher promotion intensity or rising inventory days would make the 2030E EBIT margin difficult to achieve.

Revenue Forecast Build

We forecast each chain separately. TGDD/TopZone and DMX grow mainly through RPSM, while BHX growth comes from store openings followed by cohort maturation. A single group growth rate would miss that difference.

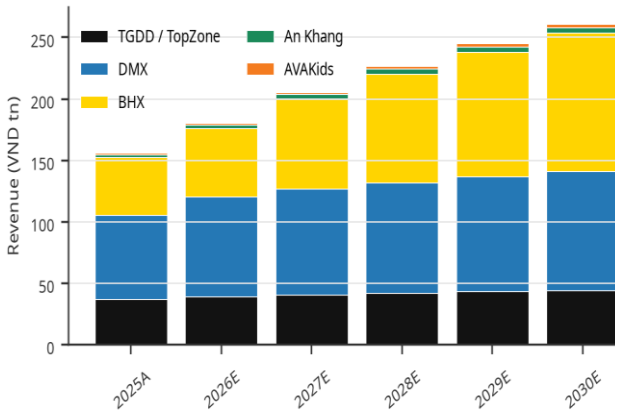


Figure 8. Segment revenue forecast by chain

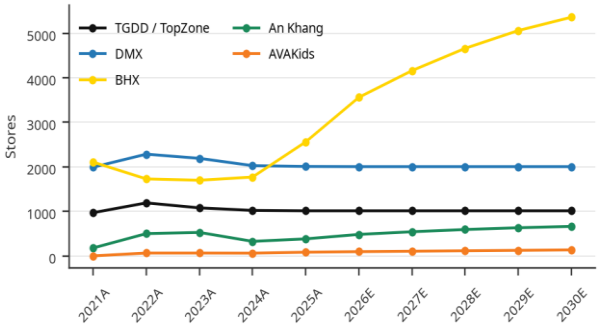


Figure 9. Ending store count forecast

Segment	2025A	2026E	2027E	2030E	Key assumption
TGDD/TopZone	37.3tn	39.3tn	40.9tn	44.5tn	RPSM recovery
DMX	68.4tn	80.9tn	85.7tn	96.4tn	Productivity and services
BHX	46.9tn	55.5tn	73.5tn	112.7tn	Stores plus mature RPSM
An Khang	2.2tn	2.9tn	3.5tn	4.9tn	Turnaround growth
AVAKids	1.4tn	1.7tn	2.0tn	2.9tn	Niche online mix

> **Forecast check**
> BHX provides most of the incremental revenue through 2030E. We expect RPSM to recover as the 2026 store cohort matures; if store count rises but RPSM does not, group growth will be lower quality than our base case assumes.

Financial Forecast

VND bn	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	134,341	155,928	185,000	210,702	232,017	250,797	267,230
Revenue Growth	13.6%	16.1%	18.6%	13.9%	10.1%	8.1%	6.6%
Gross Profit	27,499	31,002	37,925	43,826	48,724	52,918	56,653
Gross Margin	20.5%	19.9%	20.5%	20.8%	21.0%	21.1%	21.2%
Selling Expenses	19,850	19,331	22,570	25,284	27,378	29,092	30,732
G&A Expenses	3,566	4,596	5,180	5,689	6,032	6,270	6,681
EBIT	5,227	8,664	10,175	12,853	15,313	17,556	19,241
EBIT Margin	3.9%	5.6%	5.5%	6.1%	6.6%	7.0%	7.2%
Profit Before Tax	4,826	8,633	11,628	14,324	16,820	19,078	20,709
NPATMI	3,722	7,034	9,247	11,385	13,362	15,148	16,435
NPATMI Margin	2.8%	4.5%	5.0%	5.4%	5.8%	6.0%	6.2%

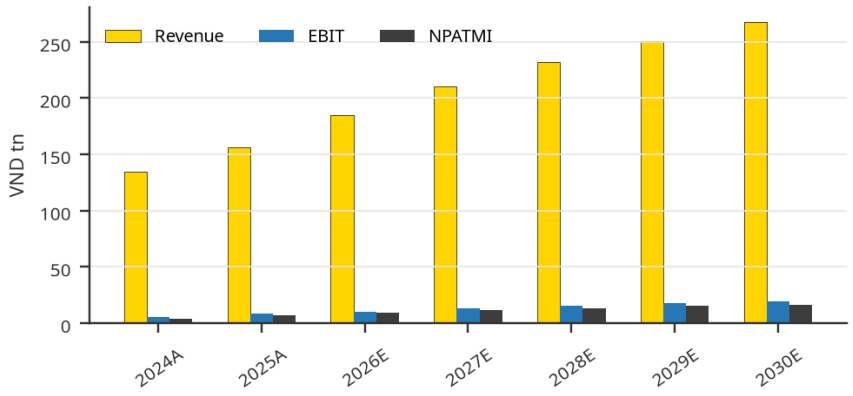


Figure 10. Revenue, EBIT and NPATMI trend

Earnings quality
Revenue grows faster than margins in our base case. EBIT expands through operating leverage and cost control, not a sharp increase in gross margin.

Balance Sheet and Working Capital

Retail earnings can outpace cash flow when inventory rises faster than payables. We therefore track inventory days and the cash conversion cycle alongside reported profit.

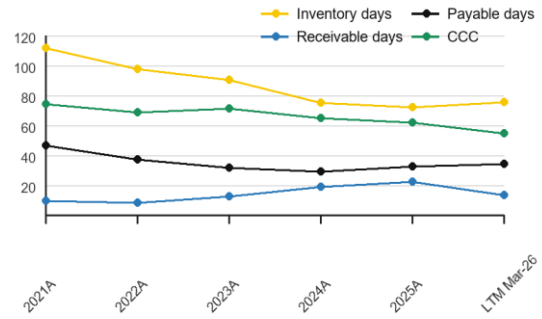


Figure 11. Inventory, payable, receivable days and CCC

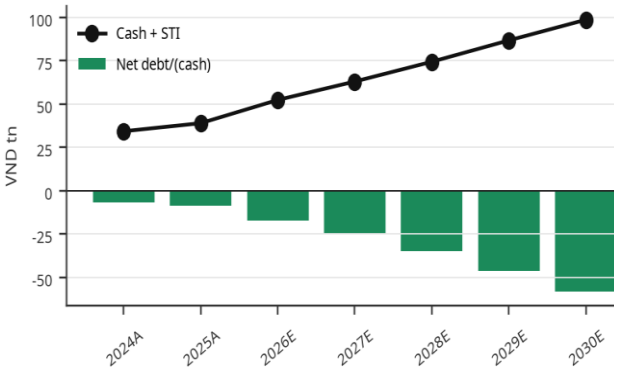


Figure 12. Net debt/(cash) and liquid funds

VND bn	2024A	2025A	2026E	2027E	2030E
Cash + Short-term Investments	34,222	38,874	52,287	62,917	98,591
Receivables	8,826	10,183	9,123	9,814	10,982
Inventory	22,245	27,267	29,415	32,918	39,231
Trade Payables	9,180	13,114	13,297	15,545	19,615
Total Debt	27,300	29,931	35,150	37,926	40,085
Net Debt	-6,922	-8,943	-17,137	-24,991	-58,506
Total Equity	28,122	33,176	40,629	49,811	86,108

Net cash treatment
We credit only 50% of consolidated net cash in base SOTP. This reduces the risk of double counting cash reflected in the DMX equity anchor and leaves capacity for BHX expansion.

Cash Flow and Capex

BHX expansion uses cash before new stores reach mature sales. The FCFF bridge tests whether higher earnings translate into cash after capex and working-capital needs.

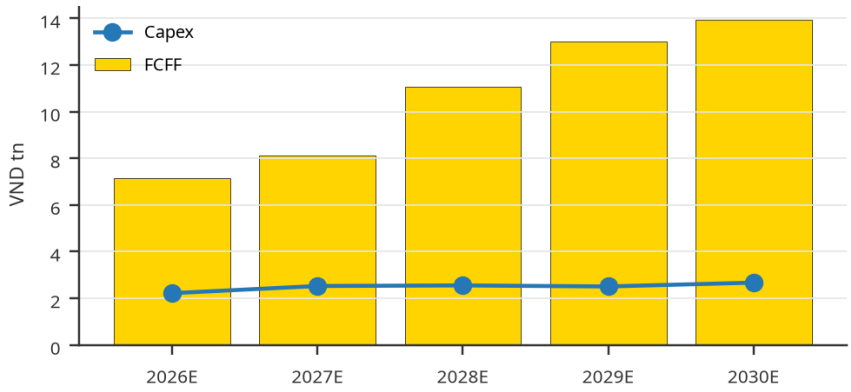


Figure 13. FCFF and capex forecast

VND bn	2026E	2027E	2028E	2029E	2030E
NOPAT	8,140	10,282	12,250	14,044	15,392
D&A	2,128	2,318	2,436	2,508	2,539
Change in Net Working Capital	905	1,946	1,062	1,033	1,316
Capex	-2,220	-2,528	-2,552	-2,508	-2,672
FCFF	7,142	8,126	11,073	13,012	13,943
FCFF Margin	3.9%	3.9%	4.8%	5.2%	5.2%

> **Cash flow**
> FCFF reaches VND13.9tn in 2030E. The downside is a larger working-capital build if BHX matures slowly.

Valuation Framework

We value MWG by segment. DMX/TGDD already generates mature cash flow, BHX is still scaling, and the smaller chains contribute limited value. Applying one group multiple would obscure those differences.

Segment	Method	Why appropriate	Main caveat
DMX Investment	IPO post-money equity anchor	Observable transaction / IPO benchmark	Public float and post-listing trading still matter
BHX	EV/Sales with execution discount	Growth asset where earnings path is still scaling	Multiple depends on store economics
An Khang	Low EV/Sales proxy	Turnaround option, small contribution	Profitability not fully proven
AVAKids	Niche EV/Sales proxy	Small but online/niche optionality	Scale is limited
DCF	FCFF cross-check	Tests long-run cash generation	Terminal-value sensitive

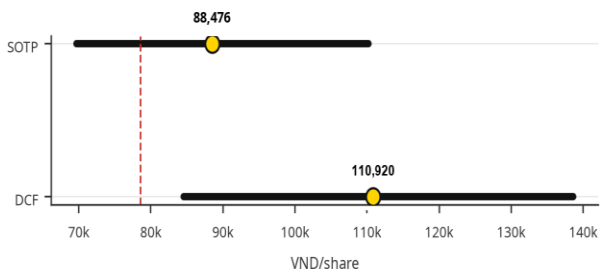


Figure 14. Target price range by SOTP and DCF

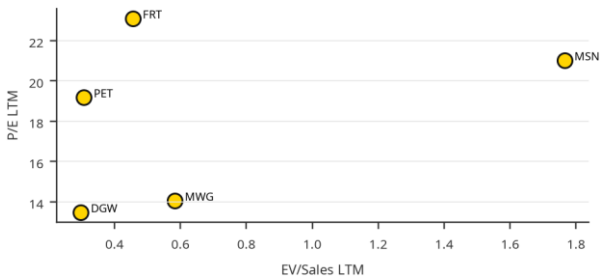


Figure 15. Peer multiple sanity check

> **How we use valuation cross-checks**
> SOTP sets our VND88,476 base target. DCF and peer multiples provide a range, but they do not replace evidence on the DMX benchmark and BHX store economics.

SOTP Valuation

Segment / adjustment	Method	Bull	Base	Bear
DMX Investment	IPO anchor x ownership	98.9tn	88.1tn	86.0tn
BHX	2026E revenue x EV/Sales	50.0tn	44.4tn	33.3tn
An Khang	2026E revenue x EV/Sales	1.1tn	0.9tn	0.6tn
AVAKids	2026E revenue x EV/Sales	1.2tn	0.8tn	0.5tn
Gross segment value	sum of parts	151.2tn	134.2tn	120.4tn
Holding discount	- gross value x discount	-7.6tn	-13.4tn	-18.1tn
Net cash adjustment	scenario inclusion	18.3tn	9.1tn	0.0tn
Equity value	gross + adjustments	161.9tn	129.9tn	102.3tn
Target price	equity value / shares	110,240	88,476	69,671

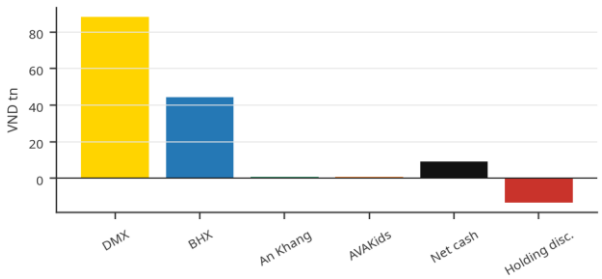


Figure 16. Base-case SOTP value composition

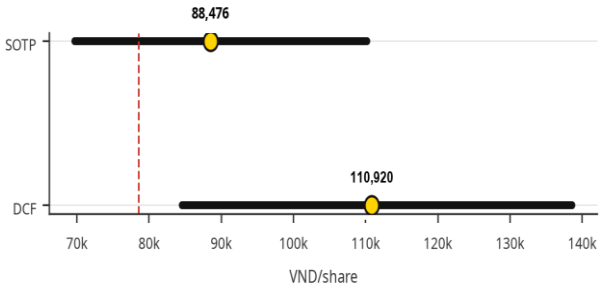


Figure 17. Target price range by method

Valuation input	Base	Rationale
DMX anchor	102.5tn	Core valuation support; anchors the mature profit engine. (DMX base value of VND 88.1tn reflects the VND 102.5tn IPO anchor adjusted for MWG's applied ownership/valuation haircut.)
BHX multiple	0.8x	Growth asset, but discounted for execution and margin risk.

Holding discount	-13.4tn	Captures platform complexity and limited segment disclosure.
Net cash included	9.1tn	The base case credits only 50% of consolidated net cash to avoid double counting with the DMX equity anchor and to leave room for BHX expansion funding needs

SOTP conclusion
DMX contributes the largest share of base-case value. BHX adds meaningful upside, but our 0.8x sales multiple reflects execution risk. The largest valuation swings come from the DMX anchor, BHX multiple and net-cash credit.

DCF Cross-check

Our base DCF gives VND110,920/share, above SOTP. We treat it as a cross-check because terminal value accounts for much of the result and MWG's business mix is still changing.

DCF item	Bull	Base	Bear
WACC	9.7%	11.2%	13.3%
Terminal growth	3.5%	3.0%	2.5%
Enterprise value	191.5tn	145.2tn	110.2tn
Equity value	209.1tn	162.9tn	127.9tn
Target price	142,403	110,920	87,068

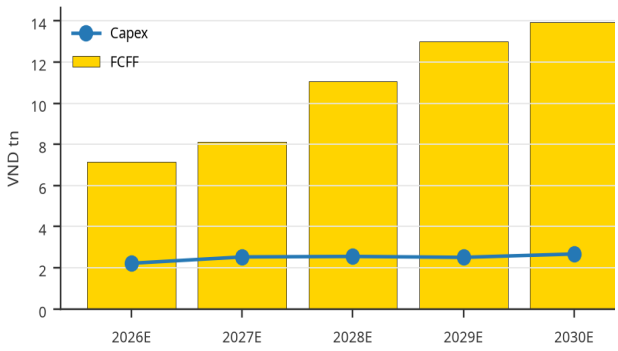


Figure 18. FCFF and capex trend

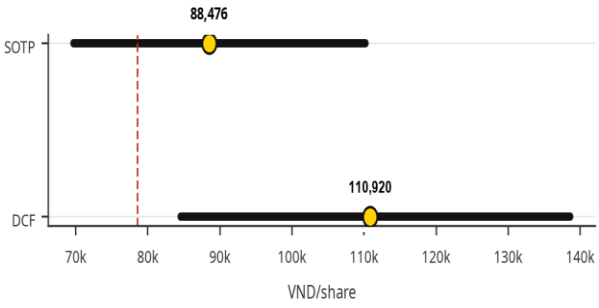


Figure 19. DCF vs SOTP target range

DCF range
The sensitivity table shows how quickly DCF moves with WACC and terminal growth. That spread is wider than the operating evidence justifies, so we do not use DCF as the primary target.

Sensitivity and Scenario Analysis

TG \ WACC	9.7%	10.5%	11.2%	12.0%	12.7%
2.5%	127,049	115,712	106,341	98,466	91,758
2.8%	130,473	118,445	108,563	100,301	93,294
3.0%	134,153	121,361	110,920	102,239	94,908
3.3%	138,118	124,480	113,426	104,288	96,608
3.5%	142,403	127,824	116,095	106,458	98,401

Scenario	SOTP target	DCF target	Interpretation
Bull	110,240	142,403	Higher DMX anchor, lower holding discount and stronger valuation assumptions.
Base	88,476	110,920	Balanced case; SOTP remains primary anchor.
Bear	69,671	87,068	Execution discount, weaker multiple and higher risk premium.

> **What would change our view**
> The valuation range matters less than the operating evidence. A faster recovery in BHX RPSM or a higher DMX benchmark would move us toward the bull case; weaker margins or rising inventory days would move us toward the bear case.

Risks, Catalysts and Monitoring Dashboard

Catalysts	Risks
DMX IPO progress validating the core anchor. BHX RPSM stabilization after new cohorts mature. EBIT margin holding as revenue scales. Inventory days staying controlled through expansion.	BHX dilution: RPSM fails to recover. Margin pressure: gross margin or EBIT margin reverses. Inventory risk: inventory days rise with expansion. Valuation risk: DMX anchor or BHX multiple de-rates.

Monitoring KPI	Latest / model	Why it matters
BHX RPSM	1.51	Proves or disproves profitable rollout after cohort dilution.
BHX stores	3,559	Fast openings help revenue only if RPSM and margin follow.
EBIT margin	5.5%	Measures whether scale benefits reach operating profit.
Inventory days	68.1	Flags whether growth is absorbing cash or staying disciplined.
Net cash	18.3tn	Supports valuation but should not be fully over-credited.

Appendix: Income Statement and Balance Sheet

VND bn	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	122,958	133,405	118,280	134,341	155,928	185,000	210,702	232,017	250,797	267,230
Gross Profit	27,632	30,862	22,521	27,499	31,002	37,925	43,826	48,724	52,918	56,653
Selling Expenses	17,914	22,337	20,917	19,850	19,331	22,570	25,284	27,378	29,092	30,732
G&A Expenses	3,823	1,881	1,168	3,566	4,596	5,180	5,689	6,032	6,270	6,681
EBIT	6,466	6,575	1,047	5,227	8,664	10,175	12,853	15,313	17,556	19,241
Financial Income	1,288	1,313	2,167	2,377	3,107	3,145	3,371	3,480	3,511	3,474
Interest Expense	674	1,362	1,448	1,137	1,471	1,692	1,900	1,973	1,989	2,005
Profit Before Tax	6,472	6,056	690	4,826	8,633	11,628	14,324	16,820	19,078	20,709
Tax Expense	1,570	1,955	522	1,092	1,560	2,326	2,865	3,364	3,816	4,142
NPAT	4,901	4,102	168	3,733	7,073	9,302	11,459	13,456	15,262	16,567
NPATMI	4,899	4,100	168	3,722	7,034	9,247	11,385	13,362	15,148	16,435
EBITDA	9,386	10,115	4,398	8,140	10,555	12,302	15,171	17,749	20,064	21,779

VND bn	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Cash + Short-term Investments	34,222	38,874	52,287	62,917	74,340	86,676	98,591
Receivables	8,826	10,183	9,123	9,814	10,171	10,307	10,982
Inventory	22,245	27,267	29,415	32,918	35,152	37,407	39,231
Total Assets	70,438	83,946	98,511	114,028	128,481	143,426	158,368

Trade Payables	9,180	13,114	13,297	15,545	17,074	18,433	19,615
Total Debt	27,300	29,931	35,150	37,926	39,443	40,128	40,085
Total Equity	28,122	33,176	40,629	49,811	60,595	72,828	86,108
Net Debt	-6,922	-8,943	-17,137	-24,991	-34,898	-46,548	-58,506

Appendix: Cash Flow, Ratios, Comps and Sources

VND bn	2024A	2025A	2026E	2027E	2028E	2029E	2030E
NPAT	3,733	7,073	9,302	11,459	13,456	15,262	16,567
D&A	2,913	1,891	2,128	2,318	2,436	2,508	2,539
Change in Net Working Capital	2,835	2,445	905	1,946	1,062	1,033	1,316
CFO (Simplified)	3,812	6,519	10,525	11,831	14,831	16,738	17,790
Capex	-304	-888	-2,220	-2,528	-2,552	-2,508	-2,672
Debt Movement	2,186	2,631	5,219	2,776	1,516	685	-43
Dividends Paid	-731	-1,478	-1,849	-2,277	-2,672	-3,030	-3,287
FCFF	3,818	5,656	7,142	8,126	11,073	13,012	13,943
FCFF Margin	2.8%	3.6%	3.9%	3.9%	4.8%	5.2%	5.2%

Ratio	2021A	2022A	2023A	2024A	2025A	Q1 2026A	LTM
Gross Margin	22.5%	23.1%	19.0%	20.5%	19.9%	20.9%	20.2%
EBIT Margin	5.3%	4.9%	0.9%	3.9%	5.6%	7.2%	6.1%
NPATMI Margin	4.0%	3.1%	0.1%	2.8%	4.5%	5.8%	4.9%
ROE	24.0%	18.5%	0.7%	14.5%	22.9%	31.4%	23.7%
ROIC	19.4%	20.2%	3.4%	18.4%	30.5%	51.1%	38.5%

Inventory Days	111.7	97.6	90.6	75.3	72.3	68.1	75.4
Cash Conversion Cycle	74.4	68.8	71.4	65.1	62.0	49.2	54.6
Current Ratio	1.2	1.7	1.7	1.6	1.5	1.6	1.6
Net Debt / EBITDA	0.7	0.1	0.2	-0.9	-0.8	-1.2	-1.5
Interest Coverage	9.6	4.8	0.7	4.6	5.9	8.1	6.4

Source group	Use in report
MWG disclosures	Guidance, monthly/YTD performance, DMX IPO anchor.
MWG_Equity_Research_Model_Main.xlsx	Historical FS, forecast, DCF, SOTP, sensitivity, FP&A.
Vnstock API / peer export	Peer multiples and market data sanity check.
Personal estimates	Forecast assumptions where public data is unavailable.